26 Here is information about two savings accounts.

Savemore	**Highbrook**
Compound interest	Compound interest
1.25% each year	2.1% for the first year 0.95% for each extra year

Abi is going to invest £5000 in one of these savings accounts for 3 years.

She wants to have as much money as possible in the account at the end of 3 years.

(a) Which savings account should Abi choose?
You must show all your working.

Savemore: £5000 × 1.0125^3 = £5189.85

1 mark
1 + rate/100.

Highbrook: £5000 × 1.021 × 1.0095^2

= £5202.46

2 marks total
Three annual multipliers for each account.

Choose Highbrook: £5202.46 > £5189.85.

1 mark
Compare final balances, rounded to the nearest penny.

(4)

Before Abi decides which savings account to choose, the rate of interest for the Savemore account is changed to 1.15% each year.

(b) Does this affect which savings account Abi should choose?
You must give a reason for your answer.

No. Savemore already pays less; lowering its rate

makes its final balance smaller still (£5174.49).

1 mark
Highbrook remains the better choice.

(1)

(Total for Question 26 is 5 marks)

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